Executives
Alfred Penny - President of Bimbo Bakeries USA Inc
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board

Analysts
Alexander Reid Robarts - Managing Director and Head of Latin American Consumer Staples Equity Research Team
Andrew Steven Muench - Analyst, Global Food and Beverages
Felipe Ucros -
Fernando Olvera Espinosa de los Monteros - Associate
Luis Miranda Valenzuela - Head of Food and Beverage
Mauricio Serna Vega - Analyst

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's First 9 Months Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and that the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chief Executive and Chairman of the Board of Grupo Bimbo. Please go ahead, sir

Daniel Javier Servitje Montull
Thank you very much, and good morning, everyone, and thank you for joining us today. I am here with our CFO, Guillermo Quiroz; our BBU President, Fred Penny; and several members of our finance team.

First, I will take a few minutes to talk about performance in the period, and then open it up to any questions may have. It has been a good year so far, and we continue to generate growth across the P&L. This largely reflects our focus on revenue growth, profitability and market share, which is running performance trends for key brands and improvements in the consolidated cost structure.

Looking at results by region, starting in Mexico. We can create growth in every channel, especially in convenience along with a better sales mix and volume growth for boosting sales by over 7% in the period, including, most notably, top line growth for the sweet baked goods category for the second quarter -- consecutive quarters.

Highlights also include good performance in premium breads like Oroweat; sales for a snack cakes, driven by our new latte product. The relaunch of Suavicremas in the cookies category and the continued growth in snacks with the new product launches like Chips Chipotle Limón.

As mentioned in previous quarters, we continue to generate savings and efficiency all across manufacturing and the supply chain. In part of the result of the zero-based budgeting initiative, these includes better use of raw materials and the reductions in waste, increased automation resulting in labor productivity and optimization of primary and secondary distribution expenses with an increase in sales on a route-by-route basis. These factors help reduce pressure at the gross margin level, growing from the impact of the stronger U.S. dollar on some raw materials and kept operating and adjusted EBITDA margin levels above last year on a cumulative basis.

On a separate note, this past October 15, there was a fire in Barcel plant in Mexicali, Baja California. No associates were injured, and the impact is not material for the company.

Moving on to North America, sales in dollar terms were flat even though FX helped us on the peso side. There are a couple of bright spots to highlight, mainly that sales of our key brands across the region continue to rise, especially Sara Lee, Thomas, Little Bites and Takis in the U.S. Aside from the sweet baked goods, there's also a nice uptick in our premium organic bread business in the U.S., both in terms of sales and market share, driven by the investments in our Eureka! brands.

Specific to the U.S., bread category consumption remains weak. This has been led by an important decline in the private-label category. However, our dollar share of the bread category continues to improve year-over-year. This is attributable to the SKU rationalization over the last year and a more targeted promotional strategy.

This period, we've closed the Hastings Nebraska plant and we continue to look for additional efficiencies across the value chain. Our key strategies at this point are focused on flexible and efficient manufacturing, improving our DOD network, zero-based budgeting and product portfolio optimization.

As for Canada, volumes remain soft in the commercial bread category while we saw positive growth in the breakfast, sweet baked foods and snack categories. And the successful launch of organic bread under the Grace Baking brand in our frozen business.

Ongoing restructuring efforts, including the closure of the North Bay plant, as previously announced, and benchmarking across all supply chain to support productivity. This year's -- this year-over-year's efficiency gains helped offset volume challenges. We also continue to advance the system integration and ERP migration process.

Overall, operating income in North America rose almost 55% and the adjusted EBITDA margin expanded 150 basis points on the back of lower raw materials costs, a decline in restructuring expenses in the U.S. and lower distribution expenses in the region, which more than offset the investments in Canada that we already mentioned.

As for Latin America, net sales rose almost 12%, reflecting growth throughout most of the region in local currencies. We had a notable performance in our Latin Centro division, Chile and Peru. We continue to further strengthen our distribution of reach to add new routes, and we continue to have efficiencies in

some countries and increased promotional activities and others, advancing also towards better levels of efficiency.

Highlights in the period include the multi-market deployment of Artesano, successful launches of Purpose [ph] bread in Chile and Peru and rising volumes in our sweet snacks category. We are also in the process of opening a new plant in Cordoba and Argentina, which will enable us to support growth through expanded capacity and lower unit costs. Despite the decent growth in the region, so markets such as Venezuela, Brazil, Argentina and Ecuador, continue to confront their own macroeconomical challenges.

I will give our perspective of Brazil specifically, as its size and scale has the most bearing on our results. Brazil is in the midst of a recession with consumers under pressure. We're fortunate that the resiliency of our industry has helped us to lessen the impact that -- versus other industries. The volumes have been slowing down over the course of the year and on a year-on-year basis. That said, we are focused on premium, including new product launches under the Nutrella and Plus Vita brands as well as continued growth in the snacks category. And the opening of a new high-performance bread line in Rio de Janeiro, we're holding steady. Stable commodity costs and the reduction in returns are helping, and we're optimistic that 2017 will be a better year for us.

For the region, a contraction in the operating and adjusted EBITDA margins reflected higher distribution expenses, an increase in the ratio-related expenses for the general mix frozen bakery acquisition and startup expenses related to the construction of the new plant and a new line in Rio we already mentioned.

Moving on to Europe. Our results this period include figures from Donuts Iberia, the renamed sweet baked goods assets we acquired from brand Panrico in July. Where there will be integration cost over the next 30 months on the order of EUR 70 million, we're confident about the long-term value creation. Donuts Iberia gives us a fantastic in expansion of the product portfolio into new store shelves, consumer segments and consumption opportunities backed by a strong production and distribution platform. We also expect to capture afterwards around EUR 40 million to EUR 50 million of synergy opportunities during the integration process.

For the region as a whole, net sales increase more than 38% in the period with the addition of Donuts Iberia as well as a welcome improvement in volume trends, a reversal of the negative figures we have seen earlier in the year. That is not to say pressure in the bread category has lifted, but rather, that our focus on branded and snacks is working with outperformance in the Artesano, Oroweat, Rustik and Eagle brands as well as in the modern channel. We also benefited from the results of initiation in plants and lower cost in our indirect supply chain, which translated to efficiency at the gross margin level. That, along lower restructuring costs, helped drive the 330 basis point expansion in the operating margin and the result of 50 points in the adjusted EBITDA margin.

Now I would like to touch on the balance sheet. As you know, we issued MXN 8 billion in domestic bonds this past quarter, which was used to pay down our revolving credit facility, extending the average maturity of our debt to 8.4 years. We want to thank investors and financial institutions for the trust vested in the company.

As expected, total debt to adjusted EBITDA following the closure of the European acquisition was 3.0x

while our net debt-to-adjusted-EBITDA ratio stood at 2.6x.

On a final note, I'm pleased to share that our 2016 and global energy race set a record for the most number of cities participating in simultaneous ways. Best of all, however, was the impact. With over 85,000 people running in 21 countries and 36 cities, we donated 1 million slices of bread to local food banks. We are proud to partner with our communities in such a meaningful way.

At this point, we are ready for the question-and-answer session. Nan, could you help us with that, please?

Question and Answer

Operator
[Operator Instructions] Our first question comes from Mauricio Serna of JPMorgan.

Mauricio Serna Vega
Just a couple of things I'd like to ask about. First, in Mexico, we saw the sales accelerating towards 9% year-over-year, but margins also split. So we're wondering if you see room to increase prices and recover margins or you would actually give preference to the market share. And then U.S., just looking into profitability, how do you expect this to evolve in the coming quarters? And how much of this quarter's expansion would you say was on the commodity side?

Daniel Javier Servitje Montull
Well, Mauricio, let me answer the first question and I'll pass to Fred Penny the second one. Yes, we were happy with our volume trends on our sales growth. As we mentioned, it was basically achieving in all channels and all categories with a nice uptick on sweet baked goods, which was a category that is relevant in this market and that have been under stretched for a long number of months. And we are seeing now that strategies are working and consumers going back to our brand. And our focus is mostly on the coming months on keeping that volume growth steady. The impact on margins was a result on the mentality of the impact of the change rate as most of the commodities, and ingredients are reflected on that currency. So -- I mean, we're going to be feeling that impact in the coming months, and we'll try also to offset as much as we can with our productivity projects that we have on our zero-based budgeting efforts brought out at all the company.

Alfred Penny
Mauricio, on the U.S., we are benefiting this year from commodity favorability. But I'd also say that we have meaningful productivity and mix favorability in our businesses here, and I expect the latitude to continue as we go forward.

Operator
Our next question is from Felipe Ucros of Scotiabank.

Felipe Ucros
I guess, my first question is regarding the issuance. I was wondering if you guys are planning to do any currency swaps under issuance or anything else to modify the issuance like you have with some of the previous instruments. And the second one is with regards to European margins. I was wondering what you are expecting going forward now that the acquisition has closed.

Guillermo Jorge Quiroz Abed
This is Guillermo. The answer is no. We are not going to do any cost currency swaps. We wanted to maintain our peso risk there. And according to the mix of our debt, peso represents about 10% of our mix. So we feel comfortable with that, and we will not make any additional adjustments.

Daniel Javier Servitje Montull
Yes. On the European story, as we mentioned in the comments recently, we're expecting around EUR 70 million in integration cost, and the bulk of them will happen over the next 5 quarters and although probably remaining part of those cost will also impact the next year. So we'll certainly feel the pain, but I believe that the teams are doing a very good job in, one, trying to integrate as fast and smoothly as possible; and two, maintain the volume trends that we have been growing recently.

Operator
Our next question is from Alex Robarts of Citigroup.

Alexander Reid Robarts
I was keen to go back to North America. It'd be interesting just to get what you saw in the quarter in terms of the dollar sales, the slight sales contraction to kind of the price volume breakdown of that. And I guess, I'm perceiving that perhaps this trend in consumptions of packaged bread seem to be taking a turn downward or at least the industry segment seemed to be turning down. And I'm wondering if you could help us understand that the nature of this, the depth of it and frankly, the longevity of it kind of a tag on here is -- I mean, I know a year ago, we've seen a -- are we reinvigorated competitor come out with packaged bread. I don't feel that that's been a big factor, and I just was hoping that there's any color around the competitive environment in packaged bread, too.

Alfred Penny
Alex, this is Fred. I'll do my best to shed some light on it. Let me make a couple of comments on our performance for the quarter because I think it will help frame the category a bit more. Our branded sales were flat on the quarter and our strategic brands actually grew sales in the 2% to 3% range. Our non-branded business, private label food service and particularly private label, declined in the quarter. Assets' been declining really for over a year now. And I'd also note, the private label phenomena is not -- decline is not limited to our category. Over 50% of all food categories with private label -- at private label is declining in over 50% of all food categories. So it's not strictly a bakery category issue. So I feel good about our top line performance on branded, particularly given the fact that we've deleted almost 300 SKUs in the last 12 months to simplify our portfolio and improve efficiency of it. Total category consumptions to your point continues to be pressured. I think it's in the 2% range on tonnage, more like flat to slightly down on sales. And that's a challenge. But I also believe that overall consumption isn't necessarily down as much as what commercial bread consumption might be, and that is moving to other categories and other channels in store bake and another channels that may not be getting captured in commercial bread category, in IRI, for example. So I hope that helps.

Alexander Reid Robarts
No, that's helpful. But just to comment on the competitive environment, I was hoping maybe -- I mean, is it -- would you characterize it as stable, rational? Anything would be great.

Alfred Penny

Well, the competitive environment, I'd say here it's competitive. And I've said in prior comments on this topic that, at the end of the day, the consumers and the customers are going to determine the level of competitiveness with how they perceive prices and what they're willing to pay. So we're working as we have been on improving our price realization where we can. It is challenging to do that in the bread business. But for our business, speaking for our business, our total bread business, we've improved our price realization quarter-on-quarter, quarter 3 to quarter 2, and we continue to look for more opportunities to do that.

Alexander Reid Robarts
Okay. I mean, that's fair enough. The price, the volume breakout in the 3Q, is it that possible that you could give that to us? Or you can't still?

Alfred Penny
I'd say it's about 50-50 price volume.

Operator
Our next question comes from Luis Miranda of Santander.

Luis Miranda Valenzuela
Specifically, in Mexico, I don't know if you could help us just to have some color on the performance in top line. Would you guys still price volume and mix? Just to have a sense of how much. I understand that, largely, it's volume. But how is pricing been implemented? And in the U.S., for Fred, in terms of the rationalization process, you mentioned 300 SKUs so far. Are you -- do you believe you are in the point I know this is a process -- it's a moving process, but do you expect that you need to cut more SKUs to improve profitability? Or are you there in terms of your portfolio? And in terms of the manufacturing facilities after the closing of the Nebraska plant, do you plan any other adjustment in the manufacturing facilities?

Daniel Javier Servitje Montull
Well, in Mexico, it was mostly volume. Very, very little on price remaining from basically other quarters. And a little bit of mix, as sweet baked goods has a larger relevance in the total business. But basically, no price.

Alfred Penny
Fernando, on your question on the portfolio optimization and SKU adding, I'd say we're through with the bulk of it. But we're continuing to look for opportunities to further improve the efficiency of the overall portfolio, given how broad and extensive it is. And I'd say the same for our manufacturing footprint. We'll continue to evaluate whether or not we have -- whether or not, except the optimal level. And there may be additional changes to that footprint over time.

Operator
Our next question comes from Fernando Olvera of Bank of America, Merrill Lynch.

Fernando Olvera Espinosa de los Monteros
My question is just regarding Mexico. It's a follow-up about -- what is your outlook about EBITDA margin going to 2017 regarding the efficiencies that you have identified so far, considering that, apparently, you are not going to increase prices to offset FX pressures?

Daniel Javier Servitje Montull
Well, I would say that we're playing our long-term game, and we're happy with the results that we are achieving. We have a 5-year plan on really making sure that our business is as efficient as we can make it. We still find opportunities, one, for growth and two, for improving our cost structure while deepening our reach -- distribution reach whenever possible. So I would say that, in general, the plans for next year is going to be -- to keep on growing as -- or maintain the trend that we have on the growth that we're seeing. The implication of the exchange rate is going to have an impact on the next quarters, and we'll try to offset as much as we can with the productivity improvement and if needed, as always, with small price increments if they are required more in general with the inflation rate of the country. So that's mostly what we have in mind for Mexico.

Fernando Olvera Espinosa de los Monteros
Okay. So maybe thinking about EBITDA margin to remain stable year-over-year, that something reasonable to think about?

Daniel Javier Servitje Montull
Yes. We don't give guidance, Fernando, as you know.

Operator
[Operator Instructions] Our next question comes from Andrew Muench of HSBC.

Andrew Steven Muench
Two here on North America. The first is, Daniel, you mentioned an improvement in the distribution network. I guess, what sort of upgrades are you looking towards? And when do you think we'll get the majority of the benefits from these upgrades? And the second question has to do with the flatbread category. So I understand you're playing to a part of that market that's actually growing. But if you sort of take the market as it is overall, how much of a priority is sort of shifting away perhaps from that and focusing on snacks? What's your progress on snacks in North America? Maybe can you share with us your vision and the opportunity you have for snacks with North America?

Daniel Javier Servitje Montull
Well, on -- yes, there were many questions on results. I'll try to address them as best as I can. On the distribution reach, our goal is to increase distribution in all markets as long as we make a long-term profitable business out of that extension of the distribution. And we're happy to report that almost in all countries that has been the case this year. So we'll continue on that path. The strategies will be different in each market, but that's our focus. And the distribution reach will benefit more, the products that are more prone to that type of channel, which are mostly snacks on the macro level type, sweet snacks, salt snacks, both mainly products that are not of a high value in terms of its price. Regarding flatbread or tortilla in our case, which is probably the largest product of the flatbread business that we're playing, too, we're having a good business in almost all our markets. We don't basically participate in the U.S. market in the tortilla. We do it with other products like pita pockets or things that are in this category. But it's not a sizable part of our business, but we are a player in almost all the different categories of the baked good industry. And that way, we can basically participate in the growth opportunities that are arising in the particular segment. So that's our take on the flatbread. And I didn't remember the last part of the question.

Andrew Steven Muench
Okay. Well, just in terms, I guess, snacks, is it a priority to increase snacks, I guess, as a percentage of the mix in North America? How relevant is that? Is that margin accretive as you look 5 years ahead? Or is it still very kind of small part of the business, let's say?

Daniel Javier Servitje Montull
Yes, it depends on the country. By country, it's more important in Mexico, relevant in the U.S. and smaller in Canada. But the push will be as the consumers moves toward more snackification and having more meals during the day to participate and the offer more alternatives in that segment. So yes, it's important and relevant to our plan for the next years.

Operator
This concludes the question-and-answer section. At this time, I would like to turn the floor back to Mr. Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Well, thank you all for your time today, and please do not hesitate to contact us with any further comments or questions you might have.

Operator
This concludes today's presentation. You may now disconnect your line at this time, and have a nice day.

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